

from the SAT study guide. During hundreds of dinner sessions, Dad tutored his son. He also hired a professional tutor for him. This combination worked. Today his son is a graduate of a top Ivy League school—the one with the highest entrance requirements!

THE PRODUCT OF EOC

What happens when “weakened children” become adults? They typically lack initiative. More often than not, they are economic underachievers but have a high propensity to spend. That’s why they need economic subsidies to maintain the standard of living they enjoyed in their parents’ home. We will say it again:

The more dollars adult children receive, the fewer dollars they accumulate, while those who are given fewer dollars accumulate more.

This is a statistically proven relationship. Yet many parents still think that their wealth can automatically transform their children into economically productive adults. They are wrong. Discipline and initiative can’t be purchased like automobiles or clothing off a rack.

A recent case study will help illustrate our point. A wealthy couple was determined to give their daughter, Ms. BPF, every advantage. So when Ms. BPF expressed some interest in starting a business, they responded in typical fashion. They created what they thought would be the ideal environment. First, they wanted her to be debt free. So they put up all the money for their daughter to start her business. Ms. BPF put up nothing of her own. She never even applied for a commercial loan.

Second, the parents felt a strong need to provide her with substantial economic outpatient care. They felt this would enhance their daughter’s chance of succeeding among the ranks of America’s entrepreneurs. Ms. BPF’s parents believed their adult daughter would benefit from living at home. This way Ms. BPF could put all her energy and resources into her business. She would live with her parents rent free. She would not have to allocate any time to shopping for groceries, cleaning the house, or